

Payroll Tax & Reports1

Modules Covered: Income Tax Slabs, Employee Tax Declarations, Proof Verification, Salary Slip Tax Breakup, Income Tax Computation Report, Salary Register, and Statutory Compliance Reports.

Overall Workflow Diagram

[Phase 1: Tax Slabs & Regime Setup] —> [Phase 2: Employee Declarations] —> [Phase 3: Proof Submission & Audit]

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[Phase 6: Compliance & Bank Reports] <— [Phase 5: Salary Register & Payroll Audit] <—
[Phase 4: Tax Calculation in Payroll]

Phase 1: One-Time Income Tax Configuration (HR / Finance)

Configure tax slabs, regimes, and exemption categories before the start of the financial year.

Step 1: Configure Income Tax Slabs & Regimes

1. Go to **HR > Payroll > Income Tax Slab**.
2. Click **New** and enter a title (e.g., *Old Tax Regime FY 2026-27* or *New Tax Regime FY 2026-27*).
3. Set the **Allowable Tax Slabs**:
 - Define taxable income ranges (Minimum & Maximum limits) and the applicable tax percentage (e.g., 0%, 5%, 10%, 15%, 20%, 30%).
4. **Configure Additional Taxes / Surcharge / Cess**:
 - Under the **Other Taxes and Charges** section, add statutory surcharges (e.g., *Health and Education Cess* at 4%).

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5. Save and Submit the Tax Slabs.

Old Tax Regime: 2024-2025 Submitted

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☐ Disabled

Effective from *
01/04/2024

Currency *
INR

Company
Frappe Technologies Private Limited

Standard Tax Exemption Amount
₹ 50,000.00

☒ Allow Tax Exemption
If enabled, Tax Exemption Declaration will be considered for income tax calculation.

Taxable Salary Slabs

Taxable Salary Slabs

No.	From Amount *	To Amount	Percent Deductio...	Condition
1	₹ 2,50,001.00	₹ 5,00,000.00	5%	annual_taxable_earning > 500000
2	₹ 5,00,001.00	₹ 10,00,000.00	20%	
3	₹ 10,00,001.00	₹ 0.00	30%	

Step 2: Assign Preferred Tax Regime to Employees

1. Open **HR > Payroll > Salary Structure Assignment**.
2. Select the employee and map their preferred tax regime under the **Income Tax Slab** field (**New Tax Regime** or **Old Tax Regime**).

Phase 2: Employee Tax Declarations (Start of Financial Year)

Allow employees to submit projected investments to optimize their monthly TDS deductions.

Step 1: Set Up Tax Exemption Categories

1. Go to **HR > Payroll > Employee Tax Exemption Category**.
2. Create standard exemption categories (e.g., **Section 80C**, **Section 80D - Health Insurance**, **HRA - House Rent Exemption**, **National Pension Scheme - 80CCD**).

Step 2: Submit Employee Tax Exemption Declaration

1. Employee logs into **Frappe HR Mobile App** or Web Portal → Go to **Tax Exemption Declaration**.
2. Select the **Payroll Period** (e.g., **FY 2026-27**).

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3. Declare projected investments under relevant categories (e.g., ₹1,50,000 under Section 80C, ₹25,000 under 80D).
4. Click **Submit**. The system factors these declarations into monthly TDS calculations across the remaining payroll months.

Payroll > Employee Tax Exemption Declaration > HR-TAX-DEC-2024-00002

Search or type a command (⌘ + G)

Help

Prachi S Draft

< > Print ... Submit

Details

Tax Exemption Declaration

Declarations

☐	No.	Exemption Sub Category *	Exemption Category *	Maximum Exempted A...	Declared Amount *	
☐	1	Mutual Funds	80C / 80CCC	₹ 1,50,000.00	₹ 1,00,000.00	
☐	2	PPF	80C / 80CCC	₹ 1,50,000.00	₹ 75,000.00	
☐	3	Mediclaime	80D	₹ 75,000.00	₹ 20,000.00	

Add Row

HRA Exemption

Monthly House Rent

₹ 30,000.00

Annual HRA Exemption

₹ 37,500.00

☒ Rented in Metro City

Monthly HRA Exemption

₹ 3,125.00

HRA as per Salary Structure

₹ 75,000.00

Total Declared Amount

₹ 1,95,000.00

ID	Tax Exemption Categ...	Max Exemption Amount
Medical Expenditure	80DDB	₹ 75,000.00
National Saving Certificate	80C / 80CCC	₹ 1,50,000.00
Tax saving FD	80C / 80CCC	₹ 1,50,000.00
ULIP	80C / 80CCC	₹ 1,50,000.00
Home Loan Principal	80C / 80CCC	₹ 1,50,000.00

Phase 3: Proof Submission & Verification (End of Financial Year)

Verify actual investment proofs uploaded by employees before finalizing annual tax deductions.

Step 1: Upload Proofs (Employee)

1. Go to **Frappe HR > Employee Tax Exemption Proof Submission**.
2. Attach supporting documents (e.g., LIC receipts, PPF statements, Rent receipts, Form 12BB).
3. Enter actual invested amounts against declared categories and click **Submit**.

Step 2: Proof Audit & Approval (HR / Accounts)

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1. HR/Accounts team opens **Employee Tax Exemption Proof Submission**.
2. Audit attached documents against declared claims.
3. Update **Sanctioned Amount** for approved claims.
4. **Handling Unsubmitted Proofs:** If an employee fails to provide proofs, ERPNext automatically recalculates TDS based *only* on verified proofs and recovers the remaining tax during the final payroll months (Jan–Mar).

Phase 4: Tax Calculation & Transparency on Salary Slips

During monthly payroll execution, ERPNext auto-computes TDS and provides complete visibility.

Step 1: Automated Tax Deduction in Payroll

- When running **Payroll Entry**, ERPNext calculates tax using:
$$\text{Monthly TDS} = \frac{\text{Total Estimated Annual Tax} - \text{Tax Deducted Till Date}}{\text{Remaining Months in FY}}$$

Details	Payment Days	Earnings & Deductions	Net Pay Info	Income Tax Breakup	Bank Details	Leaves
CTC		Non Taxable Earnings		Income Tax Deducted Till Date		
₹ 17,93,548.35		₹ 0.00		₹ 24,784.95		
Income from Other Sources		Standard Tax Exemption Amount		Current Month Income Tax		
₹ 0.00		₹ 0.00		₹ 24,784.95		
Total Earnings		Tax Exemption Declaration		Future Income Tax		
₹ 17,93,548.35		₹ 50,000.00		₹ 1,98,279.56		
		Deductions before tax calculation		Total Income Tax		
		₹ 0.00		₹ 2,23,064.51		
		Annual Taxable Amount				
		₹ 17,43,548.35				

Step 2: Review Tax Breakup on Salary Slip

1. Open any generated **Salary Slip** $\rightarrow$ Navigate to the **Tax Calculation Breakdown** tab.
2. Verify detailed tax metrics:
 - **Total Annual Gross (CTC)**
 - **Total Exemption Amount Approved**
 - **Annual Taxable Amount**
 - **Total Tax Deducted Till Date**

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- **Current Month Tax Deduction**
- **Future Expected Deductions**

Phase 5: Pre-Payroll Audit via Reports

Before releasing payouts, audit salary data using verification reports.

Step 1: Income Tax Computation Report

1. Go to **HR > Reports > Income Tax Computation Report**.
2. View annual tax projections for all employees side-by-side.
3. Audit projected gross, total exemption benefits applied, total tax liability, and pending tax deductions to ensure no over- or under-deduction occurs.

Step 2: Salary Register Report (Pre-Payroll Verification)

1. Go to **HR > Reports > Salary Register**.
2. Select the **Payroll Entry** or month date range.
3. Audit line items:
 - **Working Days & LWP (Leave Without Pay)**
 - **Gross Pay, Earnings & Allowances**
 - **Statutory Deductions: PF, ESI, PT, TDS**
 - **Loan Repayments & Advances**
 - **Net Pay Payout Totals**
4. Verify overall department totals against budgeted cost centers before submitting salary slips.

Phase 6: Compliance & Financial Accounting Reports

Fulfill statutory filing requirements and reconcile financial ledgers post-payroll.

1. Statutory Compliance Reports

- **Provident Fund (PF) Report:** Generate monthly PF ECR files to upload directly to the EPFO portal.
- **Professional Tax (PT) Report:** Generate state-wise PT statements for monthly or quarterly state returns.
- **TDS / Income Tax Report:** Export consolidated TDS summaries for Form 24Q quarterly filing.

2. Financial & Accounting Reports

- **Bank Remittance Report:** Export bank account details and net payout amounts formatted for corporate bulk NEFT bank portals.

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- **Payroll General Ledger Audit:** Verify that salary expenses are accurately booked against plant and site **Cost Centers** (Debit: Salary Expense, Credit: Statutory & Bank Payables).

Accounting

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Help

General Ledger

Actions

Frappe

Finance Book

07-07-2024

07-07-2024

Account

ACC-JV-2024-00028

Against Voucher No

Party Type

Party

Group by Voucher (±)

Currency

Cost Center

Project

☒ Consider Accounting Dimensions

☐ Show Opening Entries

☐ Show Cancelled Entries

☐ Show Net Values in Party Account

	Posting D...	Account	Debit (INR)	Credit (INR)	Balance (INR)	Voucher Type	Party	Against Vo
1		Opening	0.00	0.00	0.00			
2	07-07-20...	Salary - F	1,38,710.00	0.00	1,38,710.00	Journal Entry		
3	07-07-20...	Cash - F	5,54,838.35	49,131.00	6,44,417.35	Journal Entry		
4	07-07-20...	Shareholders Funds - F	0.00	12,600.00	6,31,817.35	Journal Entry		
5	07-07-20...	Payroll Payable - F	0.00	1,65,772.35	4,66,045.00	Journal Entry	HR-EMP-00001	Payroll Entr
6	07-07-20...	Payroll Payable - F	0.00	93,378.00	3,72,667.00	Journal Entry	HR-EMP-00002	Payroll Entr
7	07-07-20...	Payroll Payable - F						
8	07-07-20...	Payroll Payable - F						
9	07-07-20...	Payroll Payable - F						
1...	07-07-20...	Payroll Payable - F						
1...	07-07-20...	Payroll Payable - F						
1...		Total						

For comparison, use >5, <10 or =324. For ranges, use

Provident Fund Deductions

Frappe

July

2024

Department

Branch